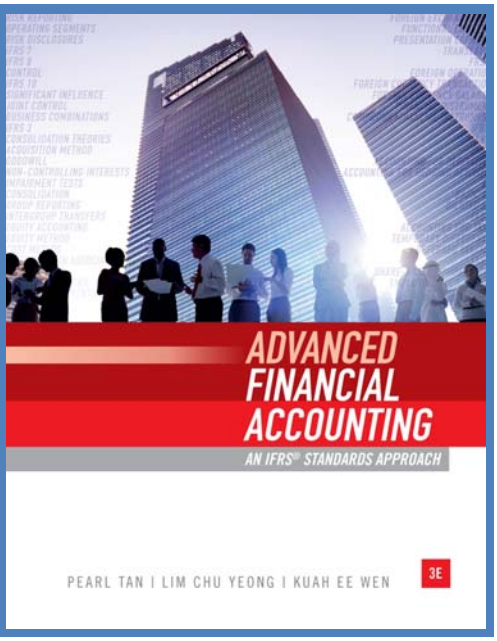
Chapter 6
Group Reporting V: Equity Accounting under IAS 28 Joint Arrangements under IFRS 11



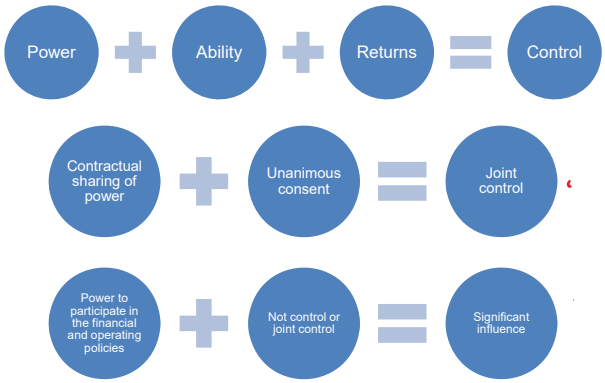
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2. Equity Method
3. Adjustment From Cost Method to Equity Method
4. Specific Procedures Relating to the Equity Method
5. Joint Ventures and Joint Operations

Concept of "Significant Influence"

- The power to participate in, but not control or joint control of those policies



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Concept of "Significant Influence"

- Default assumption:
  - Percentage ownership of ≥ 20% and ≤ 50% of investee's voting rights deemed as giving rise to "significant influence"
  - Investor may depart from threshold if the investor is able to demonstrate that the quantitative threshold is not indicative of significant influence
- Other evidence of "significant influence":
  - Representation on the board of directors;
  - Participation in policy-making processes;
  - Material transactions between the investor and investee;
  - Interchange of managerial personnel; or
  - Provision of essential technical information

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Accounting Policy for Investments in Associates

Levels of financial reporting	Accounting policy
1. Investor's separate financial statements: *legal entity*	Cost or as a financial instrument (IFRS 9) or the equity method*
2**. Consolidated financial statements (with subsidiaries and associates): *economic entity*	Equity method
3**. Investor's financial statements in place of consolidated financial statements (with associates): *economic entity*	Equity method

*For financial period beginning on or after 1 January 2016, the equity method may be applied in accounting for investments in associates in the investor's separate financial statements.
**The last two financial statements relate to economic entity reporting.

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Accounting Policy for Investments in Associates

- The cost method is often used in reporting the investment in associates in the legal entity's financial statements.
- The equity method is used in reporting the investment in associates in the economic entity's financial statements.
  - However the investor is exempted from applying the equity method in the economic entity's financial statements in one of the following situations:
    - When the exemptions to consolidation in IFRS 10 applies.
    - When the investor is a venture capital organization, mutual fund or unit trust or a similar organization, the investor may choose to measure the investment at fair value through profit or loss (FVTPL) in accordance with IFRS 9 *Financial Instruments*.

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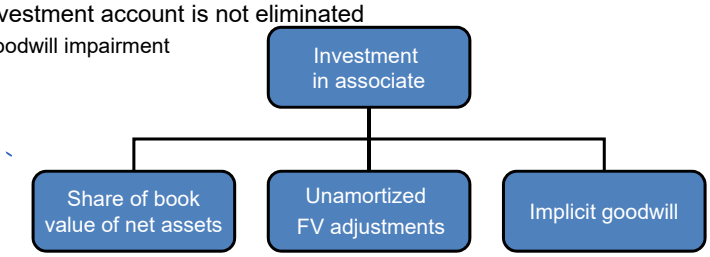
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Equity Method

- Equity accounting:
  - Investment is **initially recognized at cost** and **adjusted** thereafter for investor's share of change in post-acquisition retained earnings
  - Profit or loss of investor includes investor's share of profit or loss of the investee''.
  - Depreciation/amortization of FV adjustment.
  - Inter- entity transactions.
  - Investor's share of OCI of the investee.
  - Dividends received from associate (reduction)
  - Investment account is not eliminated
  - Goodwill impairment



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Goodwill Impairment

- Goodwill is not recognized as a stand-alone asset but is implicit in the investment account, hence, not tested for impairment on its own
- Impairment test is performed for investment as a whole
  - Carrying amount of the investment is compared with recoverable amount
  - Recoverable amount is the higher of:
    - Value in use, and
    - FV less cost to sell
- Impairment losses:
  - Will reduce the investment account
  - May be attributed to book value of net assets, fair value adjustments or goodwill

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Accounting by Equity Method

Description	Journal entries
Share of profit or loss	Dr Investment in Associaties Cr Income from Associaties (P/L)
Share of OCI	Dr Investment in Associaties Cr Income from Associaties (OCI)
Divident Distribution	Dr Cash/ Account Receivable Cr Investment in Associaties
Goodwil Impairment	Dr Impairment Loss (P/L) Cr Investment in Associaties
Gain on bargain purchase	Dr Investment in Associaties Cr Income from Associaties (P/L)

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Accounting Policy for Investments in Associates

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*For financial period beginning on or after 1 January 2016, the equity method may be applied in accounting for investments in associates in the investor's separate financial statements.
**The last two financial statements relate to economic entity reporting.

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Adjustment From Cost Method to Equity Method

	Cost Method	Equity Method	Adjustment
Accquire shares	• Cost	• Cost, except for gain from bargain purchase	• Gain from bargain purchase
P/L and OCI	• Not recognize	• Recognize	• Investor's share of investee's P/L and OCI
Dividend paid	• Increase financial income	• Decrease investment	• Investor's share of Dividend
Gain from downstream transaction	• Fully recognize	• Defer unrealized revenue and cost of goods sold	• Investor's share of unrealized revenue and cost of goods sold
Gain from upstream transaction	• Fully recognize	• Not recognize	

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Adjustment entries on worksheet

Description	Journal entries
1. Share of the profit or loss	Dr Investment in Associaties Cr Income from Associaties (P/L)
2. Share of OCI	Dr Investment in Associaties Cr Income from Associaties (OCI)
3. Dividend distribution	Dr Financial Income Cr Investment in Associaties
4. Gain on bargain purchase	Dr Investment in Associaties Cr Income from Associaties (P/L)

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Ex1

- Ngày 1/1/X1 công ty P mua 30% cổ phần của công ty S bằng TM 40 tỷ, có ảnh hưởng đáng kể. Tại ngày mua, giá trị GS TS thuần của S bằng với FV ngoại trừ TSCĐ (giá trị thuần) có FV lớn hơn BV là 60 . Thuế suất thuế TNDN 25%. Biết rằng tại ngày mua, công ty S có vốn góp chủ sở hữu là 90 tỷ, LN sau thuế chưa phân phối là 30 tỷ.

Yêu cầu: Viết bút toán điều chỉnh GD góp vốn cho việc lập BCTC HN năm X1 và X2.

X1: Giá mua: 50, FVNA của P trong S: [(90+ 30)+(60x 75%)]x 30%= 49.5
Thu nhập do mua rẻ: 40 – 49.5= 9.5

Nợ Đầu tư vào C/ty LD,LK: 9.5

Có Lãi, lỗ trong cty LD,LK: 9.5

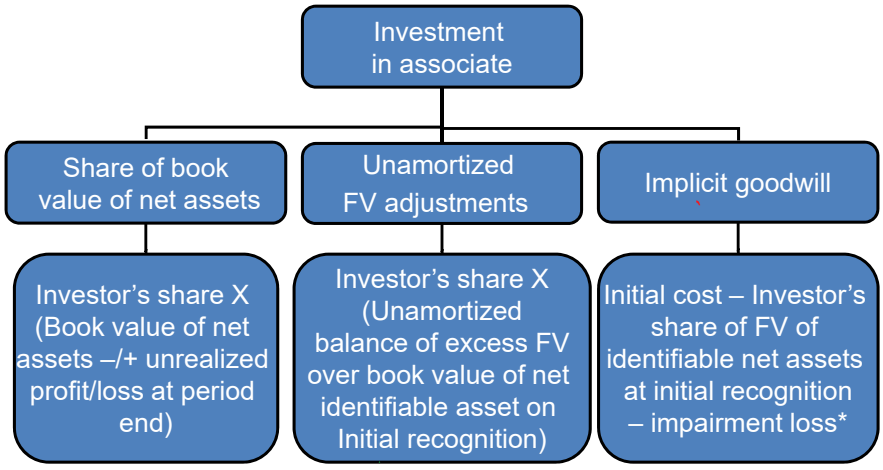
X2:

Nợ Đầu tư vào C/ty LD,LK: 9.5

Có LN sau thuế chưa PP: 9.5

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Analytical Check



*Assume that impairment loss, if any, is made against goodwill first

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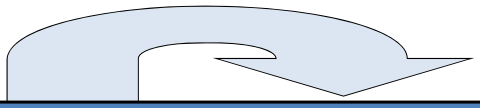
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Conversion to the Equity Method

Begin with the investor's separate financial statements and prepare equity accounting adjustments in associate under the equity method



Accounting for Investment in Associate	
Investor's separate financial	Consolidated financial statements
Cost method	Equity method
As a financial instrument under IFRS 9	Equity method
Equity method	Equity method

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Consolidation Procedures Not Applicable to Equity Method

1. Elimination of balances and transactions between investor and associate are not required
   - Equity method does not entail line by line aggregation

2. Investment in associate is not eliminated
   - Investment account captures:
     - Implicit goodwill
     - Share of change in post-acquisition retained earnings
     - Realization of earnings through dividends

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Illustration 1: Amortization of FV Adjustments of Identifiable Net Assets

- I acquired 20% of A's share on 1 Jan 20x4
- Initial investment in A was $6,000,000. Investor carries the investment **at cost** in its separate financial statements.
- Excess of fair value over book value of a depreciable asset at acquisition date was $5,000,000
- Depreciation was over ten years
- Retained earnings as at acquisition date: $15,000,000, as at 1 Jan 20x5: $20,000,000
- Current year net profit before tax for 20x5: $10,000,000, tax expense: $2,100,000
- Tax rate was 20%

Prepare the equity accounting entries for the year ended 31 Dec 20x5

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Illustration 1: Amortization of FV Adjustments of Identifiable Net Assets

EA1: Share of post-acquisition retained earnings

Dr	Investment in associate	1,000,000	
Cr	Opening retained earnings		1,000,000

RE as at 1 Jan 20X5	$20,000,000
RE as at acquisition date	15,000,000
Change in RE	$5,000,000
Share of A's post acquisition RE (20%)	$1,000,000

Note: This entry capitalizes the share of past profits in the investment account

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Illustration 1: Amortization of FV Adjustments of Identifiable Net Assets

EA2: Share of past cumulative depreciation on undervalued fixed assets (after-tax)

Dr	Opening retained earnings	80,000 (20% x 80% x $5,000,000 / 10)	
Cr	Investment in associate		80,000

Any adjustment relating to an asset or liability of the associate is made against the investment in associate account

- investment account acts as a proxy for the "net assets" of the associate

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Illustration 1: Amortization of FV Adjustments of Identifiable Net Assets

EA3: Share of current profit after tax of associate

Dr	Investment in associate	1,500,000 [20% x ($9,500,000-$2,000,000)]	
Cr	Share of profit of associate		1,500,000

Net profit before tax	$10,000,000
Less current excess depreciation	(500,000)
Adjusted net profit before tax	$9,500,000
Tax expense	$2,100,000
Less tax on current excess depreciation	(100,000)
Adjusted tax expense	$2,000,000

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Illustration 2 – Cost Method

- P owned 20% of A
- Past impairment of investment in A: $250,000
- Current impairment: $100,000
- Current year net profit before tax: $10,000,000
- Tax expense: $2,100,000

Q: Prepare the equity accounting entries for the current year

EA1: Past impairment loss

Dr	Opening RE	250,000	
Cr	Investment in Associate		250,000

Note:
1) This entry re-enacts past impairment losses
2) The impairment loss relates to the share owned by the investor; hence there is no need to apply ownership percentage

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Illustration 2 – Cost Method

EA 2: Share of current profit after tax of associate			
Dr	Investment in associate	1,480,000	
Cr	Share of profit of associate		1,480,000

Share of profit before tax of associate (20%)	2,000,000
Less: current impairment loss	(100,000)
Adjusted net profit before tax	1,900,000
Share of tax of associate (20%)	420,000
*Impairment loss relating to goodwill is assumed to be non-tax deductible	
Share of profit after tax	1,480,000

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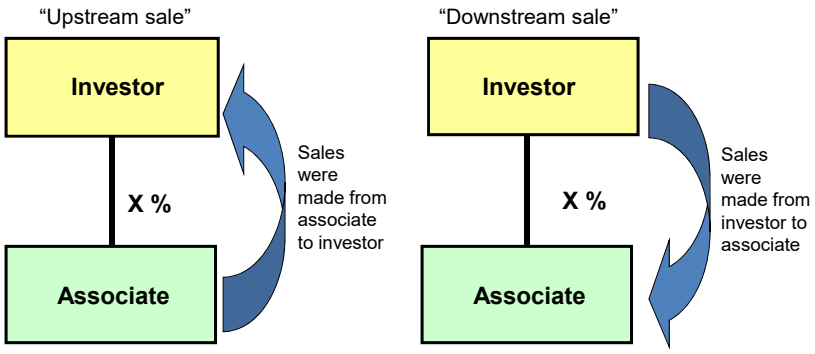
Illustration 2 – Equity Method

- When the investor applies the equity method in its separate financial statements:
  - There is no need to re-enact past equity accounting adjustments.
  - The balance of investment in associate in investor's books would be identical to the balance of investment in associate in the consolidated financial statements.
  - The only entry that is required to be passed in the current year is the equity accounting entry of profit during the current year:

Dr	Investment in associate	1,480,000	
Cr	Share of profit of associate		1,480,000

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Transfer of Assets between Investor and Associate



In both upstream & downstream sales:

- Investor recognizes profit only to the extent of unrelated investor's interest in associate (1-X%)
- Investor's share of profit arising from transfers is eliminated (X %)
- Quantitative impact of adjustment for upstream and downstream sales is the same

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Illustration 3

- Investor (I) owned 20% of Associate (A)
- I sells $200,000 of inventory to A
- The original cost of inventory is $140,000
- 1/3 remains in A's warehouse at the end of the year
- A's net profit before tax is $1,000,000 and tax expense is $200,000
- Tax rate is 20%

Prepare the equity accounting entries for I.

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Illustration 3

EA 1: Share of current profit of associate

Dr	Investment in associate	156,800	
Cr	Share of profit of A		156,800

A's net profit after tax	$800,000
Less unrealized profit in the current year (80% x 1/3 x $60,000)	(16,000)
A's adjusted net profit after tax	$784,000
I's share of net profit at 20%	$156,000

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Illustration 3

	I's profit (at group level) Adjusted	I's profit (at group level) Unadjusted
Gross profit from downstream sale	60,000	60,000
Share of A's profit	156,800	160,000
Profit effect	216,800	220,000

I is not able to recognize its share of unrealized profit of $3,200 ($60,000 x 20% x 1/3 x 80%). However, I is able to recognize 80% of the unrelated investor's share as if it had sold the inventory to unrelated investors of A

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Illustration 3 (Extension)

- Consider the impact of the adjustment on unrealized profit on an upstream transfer (same situation as in the previous example)
- Associate A sells inventory to the investor U

	I's profit (at group level) Adjusted	I's profit (at group level) Unadjusted
Gross profit from downstream sale	(40,000)	(40,000)
Share of A's profit	156,800	160,000
Profit effect	116,800	120,000

Difference between the adjusted and unadjusted amount is $3,200 which is I's share of the unrealized profit on the upstream transfer

- Note: both upstream and downstream adjustments are effected through the share of profit and investment in associate accounts

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Ex2

- Công ty P đầu tư vào công ty liên kết S với tỷ lệ nắm giữ 25% vốn cổ phần. Trong năm X1 phát sinh các giao dịch sau:
  a. P bán cho S 1 lô hàng có GV: 50, GB:60.
  b. S bán cho P 1 lô hàng có GV: 90, GB:120.

Cuối năm X1 số hàng này còn trong kho của công ty P là 60%, công ty S là 80%.

Yêu cầu:

Thực hiện các bút toán loại trừ GDNB để lập BCTCHN năm X1 và X2, biết rằng năm X2 toàn bộ hàng tồn kho nói trên công ty P và s đã bán hết ra bên ngoài.

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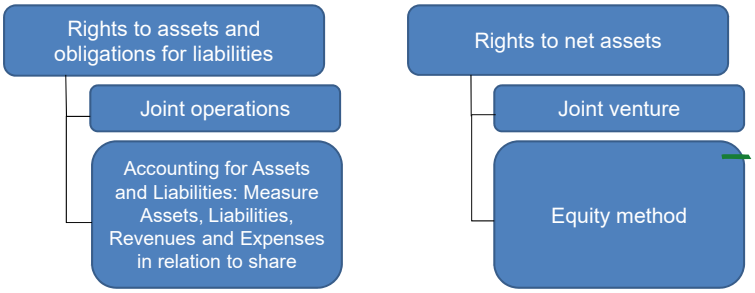
Joint Ventures and Joint Operations

- Parties that have joint control of the arrangement have rights to the net assets of the arrangements
  - Does not give rise to rights to specific assets and obligations for specific liabilities
- Joint arrangement exists when two or more parties to the arrangement has joint control
  - Existence of a contractual arrangement
  - Parties to the contract has joint control over arrangement

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Joint Ventures and Joint Operations

- Joint ventures vs. joint operations
  - Determination of the type of joint arrangement often involves judgment
  - Joint arrangement that is not structured through a separate vehicle is a joint operations



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Accounting for Joint Ventures

- Account for joint venture:
  - Using the equity method in the consolidated financial statements
  - At cost or as a financial instrument under IFRS 9 or equity method in the separate financial statements
    - The same accounting basis must apply to all joint venture investments
  - Same as accounting for associates

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Accounting for Joint Operations

- Parties that have joint control of the arrangement have rights to the assets, and obligations for the liabilities, relating to the arrangements
  - E.g. first operator who contributes knowledge and expertise have rights to the intellectual property while second operator who contributes physical equipment have rights to property, plant and equipment
- Account for joint operations in the same manner in both the separate and consolidated financial statements
- Each operator will "recognize in relation to its interest in a joint operation:
  - Its assets, including its share of any assets held jointly;
  - Its liabilities, including its share of any liabilities incurred jointly;
  - Its revenue from the sale of its output arising from the joint operation;
  - Its share of the revenue from the sale of the output by the joint operation; and
  - Its expenses, including its share of any expenses, incurred jointly."
    (IFRS 11, paragraph 20)
- Hence there is no need to "re-enact" prior year entries.

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Conclusion

- The equity method is applied to accounting for associates and joint arrangements in the consolidated financial statements
  - It does not involve line by line summation of an associate's financial statements
  - Investment account is not eliminated, instead it comprises of:
    - Share of book value of net assets
    - Unamortized fair value adjustments
    - Implicit goodwill
  - Dividends income are reclassified to investment account
- Transfer of assets between investor and associate
  - In both upstream and downstream sales:
    - Investor's share of profit arising from transfers is eliminated

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